

cause and effect. Otherwise, it is a vanity metric. The reports that Grockit's team began to use to judge their learning milestones made it extremely clear what actions would be necessary to replicate the results.

By contrast, vanity metrics fail this criterion. Take the number of hits to a company website. Let's say we have 40,000 hits this month—a new record. What do we need to do to get more hits? Well, that depends. Where are the new hits coming from? Is it from 40,000 new customers or from one guy with an extremely active web browser? Are the hits the result of a new marketing campaign or PR push? What is a hit, anyway? Does each page in the browser count as one hit, or do all the embedded images and multimedia content count as well? Those who have sat in a meeting debating the units of measurement in a report will recognize this problem.

Vanity metrics wreak havoc because they prey on a weakness of the human mind. In my experience, when the numbers go up, people think the improvement was caused by their actions, by whatever they were working on at the time. That is why it's so common to have a meeting in which marketing thinks the numbers went up because of a new PR or marketing effort and engineering thinks the better numbers are the result of the new features it added. Finding out what is actually going on is extremely costly, and so most managers simply move on, doing the best they can to form their own judgment on the basis of their experience and the collective intelligence in the room.

Unfortunately, when the numbers go down, it results in a very different reaction: now it's somebody else's fault. Thus, most team members or departments live in a world where their department is constantly making things better, only to have their hard work sabotaged by other departments that just don't get it. Is it any wonder these departments develop their own distinct language, jargon, culture, and defense mechanisms against the bozos working down the hall?

Actionable metrics are the antidote to this problem. When cause and effect is clearly understood, people are better able to learn from their actions. Human beings are innately talented learners